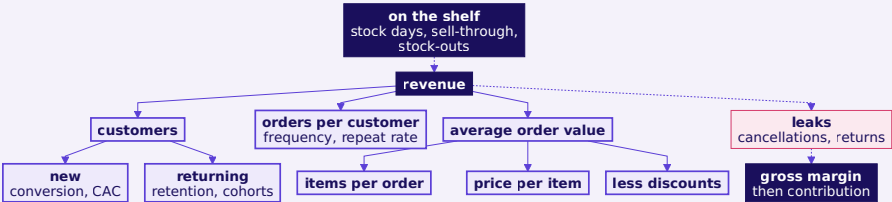


1 The metric tree



Revenue = customers x orders per customer x items per order x price per item, less discounts. Stock on the shelf decides whether any of it can happen, and cancellations and returns leak out before the margin is counted.

Crux. Every retail number is a branch of revenue or a leak from it, so say its denominator and its window before the number.

2 The ten metrics, as formulas

Metric	Formula
Conversion	Orders / visits, same window
AOV	Revenue / orders
Frequency	Orders / customers who ordered
Repeat rate	Buyers with 2+ orders / all buyers
Retention	Cohort buyers in month k / cohort size
CLV	Contribution per order x orders a year x years
CAC payback	CAC / monthly contribution per customer
Gross margin	(Net revenue less COGS) / net revenue
Inventory days	Stock at cost / COGS per day
Same-store growth	Both-year stores' sales / last year's, less 1

Crux. Compare rates only on the same denominator and window.

3 Traps that make a retail number lie

Trap	The check
Denominator shifted	One session rule; cohort's starting size
Mixed segments	The median beside the mean
Unequal windows	Month against month
Late returns	Wait for the return window to close
New stores	Quote like-for-like
Blended CAC	Count only customers the spend brought

Crux. Name the denominator, window and definition first.

4 Twenty words to say fluently

Word	What it means
SKU	One sellable version of a product
GMV	All orders, before returns and tax come out
Net revenue	Earned after returns, discounts and GST
AOV, ABV	Revenue per order online, per bill in store
MRP	The legal price ceiling, taxes included
Markdown	A permanent cut to clear stock
COGS	What suppliers were paid for goods sold
Contribution	Gross margin less per-order costs
Take rate	A marketplace's fees as a share of GMV
Shrinkage	Stock lost to theft, damage or error
Planogram	Which product goes on which shelf
Footfall	People through a store's doors
Dark store	A warehouse for online orders only
Last mile	The final leg, hub to door
COD	Cash paid when the parcel arrives
RTO	A parcel sent back undelivered
Fill rate	Share of an order a supplier delivered
Sell-through	Units sold / units received
Like-for-like	Growth on stores open in both periods
Cohort	Customers grouped by first purchase

5 The rules a retail data team works under

Rule	What the data team does
GST	Says whether GST is inside each revenue column
Legal Metrology	Never prices above MRP
E-commerce 2020	Explicit consent, explained ranking, 48-hour replies
Dark patterns	No false urgency, basket sneaking or drip pricing
DPDP	A stated purpose for every use of personal data
RBI tokens	Tokens and last four digits, never card numbers
PCI DSS	Card data stays out of analytics
FDI	Foreign-owned e-commerce runs as a marketplace
CCPA, for US	Requests to know, delete, correct, opt out

6 Where Rs 100 of GMV goes

Line	Left, Rs
GMV: ordered, at the price charged	100
Less cancellations and returns	90 kept
Less GST, collected for the state	80 net revenue
Less the cost of the goods	20 gross margin
Less delivery, returns, fees, marketing	7.5 contribution
Less stores, warehouses, tech, head office	2.5 operating profit

Crux. A marketplace earns its fees; its GMV is its sellers' sales.

THE WORDS ON THIS SHEET

- SKU** A stock keeping unit: one sellable version of a product, such as one size

GMV Gross merchandise value: all orders at the price charged, before returns
- Net revenue** Earned after cancellations, returns, funded discounts and tax

AOV and ABV Revenue per order online (AOV) or per bill in a store (ABV)
- MRP** Maximum retail price: the legal ceiling for a packaged item, taxes included

Markdown A permanent price cut to clear stock that is not selling